Lloyds Steels Industries Ltd

Now listed as Lloyds Engineering Works Ltd. Concall Tracker: judging the earning trigger and management consistency
Report date: 6 Nov 2026 | Quarter: Q2 FY27 (Jul-Sep 2026) | Screener: LLOYDSENGG | BSE 539992 | Builds on the Q1-2027 report

1. Snapshot

What it does: a heavy-engineering and project company. It designs, fabricates and installs big industrial equipment (pressure vessels, heat exchangers, steel-plant machinery, marine loading arms, ship parts) for oil and gas, steel, power, ports and the navy. Through buyouts it has added electric motors (Techno), fabrication (Metalfab), defence products, and now a majority stake in a steel-structures contractor (SISCOL). It's also merging group company LICL, a large construction contractor, into itself.

Number	Value	Plain read
Market value	₹12,879 cr	What the stock market values the company at (Screener snapshot).
Consolidated sales, Q2 FY27	₹594 cr	Sales including subsidiaries for Jul-Sep 2026, up 87% on last year and 13% on Q1. Part of the jump comes from newly added SISCOL.
Consolidated profit, Q2	₹43 cr (₹58 cr with associates)	Flat on last year and down about a fifth on Q1. Sales nearly doubled but profit didn't move.
Consolidated operating margin, Q2	~13%	Down from ~18% a year ago and ~14.7% in Q1. Each rupee of sales now earns much less.
Standalone sales / profit, Q2	₹362 cr / ₹44 cr	The parent alone: sales up 49%, profit up about a third. The parent is fine; the drag sits in the subsidiaries.
Order book (1 Oct 2026)	₹4,592 cr consolidated	Confirmed work still to deliver, up from ₹2,817 cr in July, largely because SISCOL's ~₹1,260 cr book was added. LICL holds another ~₹5,764 cr.
P/E	83.2	The share price is about 83 times a year's profit. Very expensive for a business whose profit just stalled.
ROE	10.6%	About ₹11 of profit a year on every ₹100 of shareholders' money. Modest.

2. Coverage

No concall transcripts were available on Screener, so this report is based on a global web deep-dive. The company presents results with an investor deck but doesn't publish earnings-call transcripts.

Period	Source	How it was read
Q4 FY23 to Q4 FY26 (13 decks)	Investor decks, BSE filings	Carried forward from earlier reports
Q1 FY27 (results 6 Aug 2026)	Results filing, deck summary, merger filings	Read in the Q1-2027 report
Q2 / H1 FY27 (results ~2 Nov 2026)	Results filing, H1 deck summaries, NSE merger filings	Newly read ★

Sources used: H1 FY27 results and board outcome (InvestyWise, 2 Nov 2026); H1 FY27 investor-presentation write-ups (Multibagg, 3 Nov 2026); Q2 revenue report (Sahi); NSE filings on the 16 Oct 2026 shareholder meeting for the merger scheme; Screener.in financials. Secondary sources disagree on the order book; we used the company's ₹4,592 cr consolidated figure as reported from the filing.

★ Latest update highlights: Q2 FY27 (results ~2 Nov 2026)

- **Sales up, profit stuck.** Consolidated sales ₹594 cr (+87%), but profit ₹43 cr was flat on last year and down 21% on Q1. H1 sales ₹1,121 cr (+110%), H1 profit ₹99 cr (+61%).
- **Margin squeeze continued.** Consolidated operating margin fell to ~13% in Q2 from ~18% a year ago. Staff and overhead costs nearly doubled. The parent's own margin held up better (about 16.5% including other income, ~13% core on Screener's measure).
- **Subsidiaries are the drag.** Techno (motors) lost money: H1 loss of ₹16 cr, widening from ₹4 cr, with no reason given. Metalfab's Q2 sales fell 41% and profit fell 61%, though H1 was still up. Newly added SISCOL runs at only ~10% margin.
- **New buyout.** Lloyds took a 51.7% stake in SISCOL (Steel Infra Solutions), which is now a subsidiary, and the board approved putting another ₹100 cr into it through a preferential issue "to expand capacity and manage liquidity". That brings ~₹1,260 cr of orders, but also a lower-margin business that needs cash.
- **Merger step.** The shareholder meeting on the LICL / Metalfab merger scheme was held on 16 Oct 2026 (results filed 17 Oct). Final tribunal sanction still to come. The board also touched the stock-option plans and changed the use of rights-issue money.
- **No guidance.** The deck gives operating plans (Techno's new motor line, Ahmedabad unit expanding about six-fold in floor area) but no revenue or margin targets.

Business mix & capacity
India vs exports: not broken out. Customers are overwhelmingly Indian (oil companies, steel makers, the navy, shipyards, railways), so almost all sales are domestic.
Capacity: no utilisation figure disclosed. Capacity is still being added: Techno's high-tension motor line at Vatva due in FY27 and the Ahmedabad unit going from 10,000 to 60,000 square metres.

Since our last report (builds on the Q1-2027 report, results of 6 Aug 2026)
Prior verdicts: earning trigger **YES**, management consistent **MAYBE**.

Prior read	What we said then	What the new quarter shows	Movement
Trigger: YES	Big order book converting into sales	Sales up again and order book up, but profit flat and much of the new book is bought in	Weakening
Consistency: MAYBE	Strong execution, but group deals, dilution and flattering framing	Another group-style buyout plus ₹100 cr top-up; option plan and rights-money changes; still no transcripts	Unchanged
Margins ~16-17%	Core ~13% in Q1	Consolidated ~13% in Q2, down 5 points on last year	Slipping
LICL merger (~26% dilution)	NCLT ordered meetings	Shareholder meeting held 16 Oct; tribunal sanction pending	On-track
Q4 jump a one-off?	Q1 sales held near Q4 level	Standalone sales held at ₹362 cr; consolidated grew further	Confirmed
Subsidiary quality	Metalfab growth was the big jump	Metalfab fell sharply in Q2; Techno losses widened	Slipping

Verdict change: trigger downgraded from YES to MAYBE, consistency unchanged at MAYBE. The order book is real, but growth no longer turns into profit and the new book leans on an acquisition.

3. Earning Trigger thesis ★

The pitch is still India's capex cycle: steel plants, refineries, defence and infrastructure, with Lloyds winning equipment and project work across a growing set of group companies. The order book is bigger than ever. The problem this quarter is that growth stopped reaching the bottom line. Sales nearly doubled while profit stood still, the subsidiaries went backwards, and the latest jump in the order book came from buying SISCOL rather than winning orders.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Order book from India's capex cycle	Order book gives strong visibility	₹4,592 cr, up a lot, but partly acquired; sales +87%	2-3 yrs	Moderate	↓ growth not reaching profit
Group consolidation (LICL, Metalfab, SISCOL, Techno)	One "total infrastructure" group	Merger vote held; SISCOL added; Techno losses, Metalfab Q2 slump	FY27-28	Moderate	↓ quality of subsidiaries worse
Margins at 15-18%	Steady margins	Consolidated ~13%	Ongoing	Weak	↓ slipping again
Defence and niche tech	Torpedoes, drones, special motors	Defence arm order book only ~₹8 cr	2-4 yrs	Unproven	Unchanged

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY23-FY26 (earlier reports)	Grow the order book and sales	Sales up several-fold, book up every year	Delivered
Jul 2025	FY26 revenue 4x FY25	Only on a "proforma" basis; reported ~1.7x	Partly
FY26	Margins 15-18%	~13% consolidated in Q2 FY27	Missed
May-Aug 2026	Complete LICL merger	Shareholder meeting held 16 Oct; tribunal sanction pending	Too early
FY27	Techno motor line live, more motor orders	Line still due in FY27; Techno's losses widened	Too early, weak
Ongoing	Debt-light balance sheet	Interest cost doubled in H1; ₹130 cr LICL guarantee; ₹100 cr into SISCOL	Partly

Narrative drift: the story itself hasn't changed. It's still the "one big infrastructure group" pitch. What keeps changing is the shape of the group: another buyout, another top-up, and a "pro forma" figure that again makes growth look bigger than reported. With no transcript, there's no record of management explaining why profit stalled or why Techno's losses grew. That silence is a big part of the MAYBE.

5. Bottom line: two verdicts

Durable earning trigger? → MAYBE (vs last quarter: downgraded)

What moved it: profit went flat while sales nearly doubled, margins fell five points on the year, two subsidiaries went backwards, and the order-book jump was largely bought. The order book is still real and India's capex cycle is still running, so it isn't a No. But at over 80 times earnings the stock needs profit growth, and this quarter didn't show it.

Management consistent? → MAYBE (vs last quarter: unchanged)

Nothing big broke and nothing got fixed. Execution on sales is still good. Against that: the margin promise keeps slipping, group deals and cash top-ups keep adding up, more option and rights-money changes went through, and there are still no call transcripts to hold them to.

Sources: Lloyds Engineering Works H1 FY27 results and board outcome (InvestyWise, 2 Nov 2026); H1 FY27 presentation write-ups (Multibagg, 3 Nov 2026); Sahi Q2 revenue report; NSE merger-meeting filings (16-17 Oct 2026); prior Q1-2027 concall-tracker report; Screener.in financials. No concall transcripts exist. Not investment advice. Do your own due diligence.